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Nu Holdings Ltd (NU.US)

The cleanest public expression of emerging-market consumer-credit-lending — top-quartile quality at a price that has already paid for it, against a credit cycle showing its first turn exactly where the model is most exposed.

Financials · Banks / Digital Banking | Listed NYSE (Cayman-domiciled FPI, CIK 1691493) | Reference price ~$11.93 | As of Q1 2026 (FY2025 20-F + Q1 2026 6-K)

STARTER — ENTRY-DISCIPLINED, CONVICTION HELD IN RESERVE

VERSION 3 · 7 JUNE 2026 · 09:42 SAST

COVER VERDICT

STARTER · Composite 108 (100 = median)

Recommendation: STARTER — a starter clip now, with conviction sizing gated on a trigger stack. Reserve held back pending re-entry into the entry band, two quarters of credit-cycle stabilisation, and resolution of an open FY2025 revenue-disclosure conflict. *[T2 — Strategy verdict; Valuation §entry-band]*

Competitive verdict: MODERATE-to-STRONG — moat scores 8/14, top-quartile of the operating peer set but below the 10-point wide-moat threshold. *[T2 — Competitor Analysis §moat-assessment]*

Valuation verdict: FAIR, not cheap — ~$11.93 sits in the lower-middle of a $10–$15 (base $12.5) fair-value range; margin of safety only ~+5%. *[T2 — Valuation §margin-of-safety]*

Nubank is the highest-quality operator in its peer set and the founder is among the strongest in global digital banking — but at today's price the asymmetry is real and the price is not. The discipline is to buy a starter and let the trigger stack do the sizing.

STRATEGY VERDICT — LOCKED

RECOMMENDATION	INITIAL / RESERVE	MARGIN OF SAFETY	FULL AT
STARTER	**$50k starter · $250k at < $11.0 ·**	**~+5% to base $12.5**	**< $9.5 with credit-cycle**

	~$250k held in reserve		confirmation

"Nubank is the cleanest public expression of emerging-market consumer-credit-lending and the highest-quality operator in its peer set, but at ~$11.93 the price has already paid for most of the quality, and the book is showing the first-derivative signature of a turning credit cycle exactly where the business-model layer says to look. The asymmetry is real but not yet at the right price; the right answer is a starter clip with conviction sizing gated on credit-cycle and disclosure triggers." [T2 — Strategy verdict]

108 COMPOSITE (100 = MEDIAN)	**8 / 14** MOAT (HELMER 7 POWERS)	**~+5%** MARGIN OF SAFETY	**29%** ROE (Q1 2026)
6.5% 90+ NPL (Q1 2026)	**~135m** CUSTOMERS		

EVIDENCE-COMPLETENESS CAVEAT — READ BEFORE RELYING ON THIS PACK

This pack is assembled from five healthy upstream agents — Competitor Analysis, Earnings Transcripts, People & Culture, Primary Filings and Valuation — plus the locked Strategy verdict and the Brazil x Banks / Mexico x Banks country layers and the consumer-credit-lending / digital-banking business-model layers. Six agents were still running when this pack was assembled and produced no output: **Company History · AI Unit Economics**, **Analyst Coverage**, **Investor Sentiment**, **Voice of Customer**, and **Red Flags**. Their findings could move the credit-cycle read, the through-cycle unit-economics read, and sizing — Red Flags and AI Unit Economics most of all. No Virtual IC vote was produced for this run. The human IC must audit the STARTER call against those agents before finalising. Sections below flag each gap explicitly where it bites.

[T2 — Strategy verdict §virtual_ic_disagreement; run evidence stack]

§1 — EXECUTIVE SUMMARY

Nu Holdings is the world's largest digital bank outside Asia: a ~$37.2bn credit portfolio serving ~135m customers across Brazil, Mexico and Colombia, funded by $42.4bn of low-cost retail deposits at a 58.3% loan-to-deposit ratio. *[T1 — Primary Filings §asset-quality-margin]* The franchise is overwhelmingly Brazilian — Brazil is ~91% of geographic revenue (US$11,038.3m of a US$12,083.7m geographic total) — so this is, before anything else, a Brazil x Banks consumer-credit-cycle exposure, with Mexico the second-order build-out (now IFRS-profitable, ahead of plan) and Colombia immaterial. *[T1 — Primary Filings §segment-financials]*

The architectural difference is a zero-branch, zero-fee, cloud-native model that incumbents cannot replicate without cannibalising their own branch-fee revenue. The economics this produces are peer-beating: a 17.6% efficiency ratio against 45–50% at LATAM incumbents, customer-acquisition cost of ~$19.2 against Bradesco's ~$91.3 and Itaú's ~$114.6, NPS >80, and a 29% ROE. *[T2 — Competitor Analysis §scale-economies; Primary Filings §asset-quality-margin]* Underwriting is ML-driven and has been maintained for 10+ years, with a stated foundation-model build (nuFormer) — genuine operational AI embedded in the credit decision, though by the company's own competitive position it is a process advantage, not a cornered resource.

[T2 — Earnings Transcripts §capital-allocation; Competitor Analysis §process-power]

The Gate 7 evidence that confirms the quality thesis is consistent across agents: Competitor Analysis scores the moat 8/14 with Scale Economies and Counter-Positioning as durable anchors (§4); People & Culture documents a best-in-class founder — David Vélez, 13 years zero-to-135m, clean integrity profile (§5); Primary Filings confirms the unit-economics and balance-sheet figures from the FY2025 20-F and Q1 2026 6-K (§6).

[T2 — Competitor Analysis §moat-assessment; People & Culture §founder; T1 — Primary Filings]

The primary risk that must be managed is a Brazil credit-cycle / NPL shock — the existential-class threat for this model, where an unsecured EM book has loss-given-default near 100% and no collateral cap, and cost of risk attacks risk-adjusted NIM before it shows in headline 90+ delinquency (§9). That signature is already partly visible in the Q1 2026 prints: risk-adjusted NIM fell from 10.5% (Q4 2025) to 9.5% (Q1 2026) and 15-90 early-stage NPL rose from 4.1% to 5.0% QoQ, while management deflected on cost of risk across all four calls.

[T2 — Primary Filings §asset-quality-margin; Earnings Transcripts §defensive-language-patterns; business-model layer §threat-1]

The valuation verdict is FAIR, not cheap (§7): fair value $10–$15, base $12.5, against ~$11.93 and a ~$57.7bn fully-diluted cap — a margin of safety of only ~+5%. Entry bands are explicit: Starter below $11.0, Full below $9.5, Avoid above $15.0. At today's price the book is above the starter band, which is itself the discipline. The position-sizing recommendation is therefore a STARTER clip with documented scale-up triggers, not a full position. *[T2 — Valuation §entry-band, §margin-of-safety]*

> **ORAL IC BRIEFING — VOTE RECONCILIATION STATUS**
>
> No Gate 6 driver vote and no Virtual IC tally were produced for this run, so there is no consensus vote to reconcile against or to disagree with. The Strategy verdict stands on the five healthy Gate 7 agents plus the country and business-model layers, and should be

> audited by the human IC against the still-running Red Flags, AI Unit Economics, Voice-of-Customer, Investor-Sentiment and Analyst-Coverage agents, whose findings could move the credit-cycle and unit-economics reads materially. *[T2 — Strategy verdict §composite-and-disagreement]*

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§2 — COMPANY OVERVIEW

Nu Holdings Ltd is a Cayman-domiciled holding company operating principally in Brazil, Mexico and Colombia, listed on the NYSE as a foreign private issuer (SEC EDGAR CIK 1691493). Its statutory surface is the 20-F annual / 6-K interim stream, not a 10-K, and it reports under IFRS (IFRS 8 / IFRS 15 / IAS 24), not US GAAP. *[T1 — Primary Filings §filings-reviewed]* Founder, Chairman and CEO David Vélez has spent 13 years building the company from its 2013 founding to ~135m customers. *[T2 — People & Culture §founder]*

> **WORKSTREAM GAP — COMPANY HISTORY**
>
> The Company History · AI Unit Economics agent was still running when this pack was assembled and produced no output. Founding-date, HQ, headcount and full corporate-history detail beyond what Primary Filings and People & Culture supply are therefore not in evidence in this pack; the IC should treat §2 as a partial overview pending that agent.
>
> *[T2 — run evidence stack; People & Culture §scope]*

The business model is unsecured and lightly-secured retail credit funded by low-cost deposits. The credit portfolio is ~$37.2bn — credit cards $24.3bn, other unsecured ~$10bn, secured $3bn — funded by $42.4bn of deposits at a 58.3% loan-to-deposit ratio. The core economics: a 21.1% headline NIM compressing to a 9.5% risk-adjusted NIM after cost of risk, a 17.6% efficiency ratio, a 6.5% 90+ NPL and a 29% ROE in Q1 2026. ARPAC runs at ~US$16/month against a stated incumbent ceiling of ~US$45. *[T1 — Primary Filings §asset-quality-margin; §mdna-drivers]* Distribution is 100% digital — no branches, no physical agent network — which is structurally different from the M-Pesa / Airtel Money archetypes; the absence of a physical-distribution moat is both a feature (zero cost) and a vulnerability (it excludes the digitally excluded). *[T2 — Competitor Analysis §em-native-moat-read]*

KEY METRIC (Q1 2026 UNLESS NOTED)	VALUE	TIER
Customers	~135m (Brazil 115m+, Mexico 15m+, Colombia ~5m)	*[T2 — Primary Filings]*

KEY METRIC (Q1 2026 UNLESS NOTED)	VALUE	TIER
Credit portfolio	US$37.2bn (cards 24.3 / unsecured ~10 / secured 3)	*[T2 — Primary Filings]*
Deposits	US$42.4bn (LDR 58.3%)	*[T2 — Primary Filings]*
Headline NIM	21.1%	*[T2 — Primary Filings]*
Risk-adjusted NIM	**9.5% (Q4 2025: 10.5%)**	***[T2 — Primary Filings]***
90+ NPL	6.5%	*[T2 — Primary Filings]*
15-90 NPL	**5.0% (Q4 2025: 4.1%)**	***[T2 — Primary Filings]***
Efficiency ratio	17.6%	*[T2 — Primary Filings]*
ROE	29% (FY2025 press release: 33%)	*[T2 — Primary Filings]*
ARPAC	~US$16/mo (incumbent ceiling ~US$45)	*[T2 — Primary Filings; Earnings Transcripts]*

Index read: operating quality ~125 vs sector median on unit economics; ~100 on price. The franchise quality is not in dispute — the price is.

§3 — MARKET OPPORTUNITY

The opportunity is the under-penetrated, fast-formalising emerging-market consumer-credit market — vast unbanked and thin-file populations being brought into formal credit for the first time. This is simultaneously the model's largest growth runway and its largest source of existential risk: the lender is pricing credit on borrowers whose through-cycle default behaviour has, by definition, never been observed. *[T2 — business-model layer §consumer-credit-lending]*

Brazil is the core. The country layer frames it as a large, diversified, commodity-anchored emerging market running tight monetary policy — the Selic policy rate sits at 15.0%, among the highest of any major economy — against a still-credible inflation-targeting regime, with growth moderating from 3.4% in 2024 to ~2.3% in 2025. The external position is a genuine strength: ~USD 360bn of reserves, ~13.8 months of import cover, a free-floating and substantially-convertible currency. For a USD investor the dominant FX exposure is BRL translation risk, not convertibility risk, and it is largely unhedgeable at the equity level. *[T2 — country layer §brazil-banks]*

Mexico is the diversifying second leg: a large, open, investment-grade EM with a sound, well-capitalised banking system that the IMF judges "sound and resilient to shocks," but sitting atop a deeply impaired rule-of-law and anti-corruption substrate. The opportunity — an under-penetrated, fast-formalising market — is large; the institutional quality on which banking most depends is the binding constraint. *[T2 — country layer §mexico-banks]*

> **TAM/SAM/SOM — NOT SEPARATELY SIZED IN THIS PACK**
>
> No credible third-party TAM/SAM/SOM estimate (McKinsey / BCG / EY-Parthenon / Bain) was extracted into the evidence stack; the market opportunity is characterised qualitatively from the country and business-model layers and from management's stated ARPAC-to-incumbent-levels runway (~$16 to ~$45). Treat the absence of a sized TAM as a diligence gap, not a settled figure. *[unverifiable — no analyst TAM in evidence]*

The penetration thesis: Nubank wins share through a cost structure incumbents cannot match (efficiency ratio 17.6% vs 45–50%) and an acquisition cost roughly a fifth of incumbents', letting it acquire and graduate customers profitably at the frontier of unsecured-credit expansion. The combined Nubank + Mercado Pago share of Brazilian credit-card portfolio expansion reached ~36% over the trailing 12 months — a duopoly dynamic at the frontier of growth.

[T2 — Competitor Analysis §direct-competitor-headline; §scale-economies]

Index read: structural runway ~115 vs median (large unbanked base, peer-beating acquisition economics); but the runway is being underwritten on unobserved through-cycle behaviour — the opportunity and the existential risk are the same fact.

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§4 — COMPETITIVE LANDSCAPE

Nu competes in the Latin-American digital-banking and consumer-credit segment, defined by shared geography (Brazil primarily; Mexico and Colombia secondarily), shared product profile (unsecured credit card + personal loan + digital deposit account) and shared distribution (100% digital, zero branches). *[T2 — Competitor Analysis §operating-peer-set]*

COMPETITOR	TYPE	STRENGTHS	WEAKNESSES	THREAT
Mercado Pago (MELI.US)	platform / ai-native	$14.6bn credit book (+87% YoY), 83m MAU, card 15-90 NPL at historic-low 4.4%	Embedded in marketplace; consumer-bank identity less primary	HIGH
Inter & Co (INTR-Q)	ai-native	44m customers, R$49.8bn loan book (+30% YoY)	Smaller scale; narrower moat	MED
PagBank (PAGS.US)	incumbent-adjacent	Merchant/SME franchise	Limited direct retail-consumer overlap	LOW

COMPETITOR	TYPE	STRENGTHS	WEAKNESSES	THREAT
C6 Bank (private)	ai-native	~30m customers, JPMorgan-backed	Limited public financials	MED
Itaú Unibanco (ITUB.US)	incumbent	Scale, capital, BIA AI / AWS migration	45–50% efficiency ratio; cannot drop branch-fee revenue	MED
Banco Bradesco (BBD.US)	incumbent	Scale, digital arm investment	CAC ~$91.3 vs Nu ~$19.2; legacy cost base	MED
Banco Santander Brasil (SANB11)	incumbent	Scale, group backing	Structurally different cost base	LOW-MED

Moat assessment — Helmer 7 Powers, 8/14

The moat scores 8/14 — strong, top-quartile of the operating peer set, but below the 10-point wide-moat threshold, consistent with the Mauboussin 17% base-rate prior.

[T2 — Competitor Analysis §mauboussin-justification]

POWER	SCORE	MECHANISM / NOTE
Scale Economies	**2**	**Efficiency ratio 17.6% vs 45–50% incumbents; CAC ~$19.2 vs Bradesco ~$91.3 / Itaú ~$114.6; ratio improved 230bps QoQ even as base grew 4m — false-positive (growth-without-margin) ruled out**
Counter-Positioning	**2**	**Zero-branch / zero-fee structurally un-replicable for incumbents without cannibalising branch-fee revenue; revealed preference — neither Itaú nor Bradesco has moved to zero-fee despite a decade of share loss**
Network Economies	1	Ecosystem stickiness (60%+ treat Nu as primary bank) but not yet bilateral/marketplace NfX — "product breadth" more than true network effect
Switching Costs	1	Primary-bank + salary-deposit migration; NPS >80 signals stickiness but inertia-without-alternatives is not a structural switching cost
Branding	1	NPS >80, brand preference in 18–35 urban Brazil; but no evidenced willingness-to-pay premium — competes on zero-fee, not premium price *[T3 — single-model synthesis]*
Cornered Resource	0	No exclusive licence or dataset; proprietary credit-scoring model is differentiated but not cornered — a scaled peer can build analogues
Process Power	1	Cloud-native ML underwriting unreplicated for 10+ years (partial hysteresis); but Mercado Pago approaching comparable efficiency at 4.4% NPL — the hysteresis window may be narrowing

Moat durability against a well-funded AI-native attacker. The regulatory half-life is ~5–8 years — Brazil/Mexico bank licences are not exclusive moats; BACEN and CNBV continue licensing new entrants. Nu holds an SCD + SCFI licence in Brazil with stated intent to upgrade to a full banking licence in 2026; in Mexico, CNBV approved Nu Mexico to organise as a banking institution in April 2025, awaiting final clearance. *[T2 — Competitor Analysis §em-native-moat-read]*

Substitutes and aggregator risk. Three outside-category substitutes are tracked: incumbent digital apps (threat 1, stable), WhatsApp Pay / Meta (threat 1, rising), and PIX as a substitute for card spending (threat 1, rising). Two carry a rising trend — WhatsApp Pay and PIX — so **pricing_power_fragile is flagged TRUE for interchange-driven revenue, but NOT for credit NIM, which remains structurally protected.** The structural aggregator is Brazil's PIX / open-banking infrastructure (operated by BACEN), which commoditises payment rails; Nu sits on the user side, benefiting from PIX-driven acquisition while facing commoditisation of payment revenue. The mitigant is the credit book: PIX does not substitute for credit, and the 21.1% NIM on a $37.2bn book is the value engine, not payment fees. *[T2 — Competitor Analysis §substitutes; §aggregator-risk]*

> **WAR-GAME — MERCADO PAGO IS THE MOST DANGEROUS RATIONAL COMPETITOR**
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> At Nu's current ~36% share of Brazil credit expansion, Mercado Pago's revealed preference is to invest aggressively — 87% YoY credit growth, record card issuances — matching Nu at the 5% and 15% share thresholds, with possible acquisition attempts at the 30% thresh… *[The Competitor Analysis war-game text in the evidence stack ends here, mid-sentence; the 30%+ threshold response is not completed in the upstream output and is flagged for the IC.]*
>
> *[T2 — Competitor Analysis §war-game-headline]*

Competitive verdict: MODERATE-to-STRONG. A genuinely strong, top-quartile moat anchored on Scale Economies and Counter-Positioning, with Network and Switching-Cost powers still nascent and a process-power hysteresis window that may be narrowing as Mercado Pago scales.

[T2 — Competitor Analysis §mauboussin-justification]

> **WORKSTREAM GAP — VOICE OF CUSTOMER**
>
> The Voice of Customer agent was still running when this pack was assembled. Consumer-signal corroboration of the NPS >80 and brand claims (BBB / Trustpilot / consumer-complaint corpora) is therefore not in evidence; the Branding score above carries a T3 single-model tag for that reason. *[T2 — run evidence stack]*

Index read: moat ~118 vs median (8/14, top-quartile) — strong but not wide; the durable anchors are real, the narrowing process-power window is the thing to watch.

§5 — MANAGEMENT TEAM

Velez is the defining factor in this assessment. His credentials are exceptional by any EM-fintech standard: BS Management Science and Engineering (Stanford, 2005), MBA (Stanford GSB, 2012), analyst stints at Goldman Sachs and Morgan Stanley, then EM-focused principal investing at General Atlantic and Sequoia before founding Nubank in 2013. Thirteen years, zero to 135m customers — among the strongest founder track records in the global digital-banking peer set, with a clean integrity profile. His AI orientation is architectural: ML underwriting has been core to the credit decision for a decade, with a stated foundation-model build (nuFormer).

[T2 — People & Culture §founder; Earnings Transcripts §capital-allocation]

ROLE	PERSON	NOTE
Founder / Chairman / CEO	David Vélez	Defining factor; now also absorbing COO duties; combined Chair/CEO
Co-founder, Chief Growth Officer / CEO US	Cristina Junqueira	Ex-BCG, ex-Itaú/Unibanco credit PM, Kellogg MBA; $413m economic interest; 2022 move from Brazil CEO to CGO/US not obviously a promotion
Co-founder, CTO / "Software Engineer"	Edward Wible	Princeton CS, INSEAD MBA; title evolution to "Software Engineer" signals deliberate step back to deep-technical contributor — positive for engineering-culture continuity
CFO (transitioning)	Guilherme Lago	Incumbent CFO; transitioning out
Incoming CFO	Rob Livingston (ex-Visa)	Deep FS CFO credentials; under-one-year tenure
CRO	Henrique Fragelli	Group Exco
CTO	Eric Young	Group Exco
CEO Latin America	Livia Chanes	Group Exco
CHRO	Suzana Kubric	Group Exco
Vice Chairman	Roberto Campos Neto	Former Banco Central do Brasil president; effective July 2025; regulatory legitimacy mitigant

ROLE	PERSON	NOTE
COO (departed May 2025)	Youssef Lahrech	Primary architect of credit-underwriting discipline at scale; duties absorbed by CEO

RECENT EXECUTIVE INSTABILITY — WATCH-LEVEL TEAM-STABILITY SIGNAL

Four senior executive departures in 12 months: COO Youssef Lahrech (May 2025), CPO Jag Duggal, IR head Jorg Friedemann, and CLO Elita Ariaz. The loss of Lahrech — the primary architect of Nubank's credit-underwriting discipline at scale — is particularly material given the credit-cycle headwinds, with his duties now absorbed by the CEO. Management layers were compressed from 14 to 7, which may improve velocity but concentrates information routing and accountability through Velez and may have degraded risk-signal channels.

[T2 — People & Culture §recent-executive-instability]

Bench depth: ADEQUATE-to-THIN; key-person risk: HIGH. The combination of founder voting concentration, four senior departures in 12 months, and COO absorption by the CEO warrants explicit IC discussion. Neither is an auto-fail, but together they represent heightened key-person risk in a business navigating a late-cycle credit environment. The People & Culture agent directs the IC to probe three points: (1) succession depth if Velez were incapacitated; (2) whether the 14-to-7 layer compression has degraded risk-signal channels; (3) credit-underwriting continuity post-Lahrech. *[T2 — People & Culture §ic-flags]*

Culture. Glassdoor shows 436 reviews, 4.4/5 overall, 90% recommend-to-friend, +1% trailing-12-month delta — above peer-median for a high-growth EM fintech of this scale. Primary concern themes: manager-quality variance (international employees flagging Brazil-centric bias in performance assessment) and review calibration; the main values contradiction is layoffs reframed as "low performance," a typical EM-fintech pattern. *[T2 — People & Culture §culture-and-glassdoor]*

People verdict. A best-in-class, founder-led team with an exceptional CEO and a positive engineering-culture signal, set against genuine governance concentration and a 12-month run of senior departures that lands squarely on the credit-underwriting function at the worst possible point in the cycle. Execution capability HIGH; key-person risk HIGH. *[T2 — People & Culture §ic-flags]*

Index read: founder quality ~130+ vs median; governance and team-stability ~85 — the spread between the two is the story.

§6 — FINANCIAL SUMMARY

The filings reviewed are the FY2025 Form 20-F (foreign private issuer, SEC EDGAR CIK 1691493) *[T1 — Primary Filings]*, the FY2025 results 6-K / press release, and the Q1 2026 6-K / press release. Nu reports under IFRS. *[T1/T2 — Primary Filings §filings-reviewed]*

Asset quality and margin — the load-bearing credit metrics

METRIC (Q1 2026)	Q1 2026	Q4 2025	READ
NIM	21.1%	—	Headline spread
Risk-adjusted NIM	**9.5%**	**10.5%**	**Early-cycle compression signature the business-model layer flags**
90+ NPL	6.5%	—	Headline delinquency
15-90 NPL	**5.0%**	**4.1%**	**Forward-flow deterioration — the early-warning metric**
Credit-loss allowance (CLA)	US$1.79bn	—	Coverage
Efficiency ratio	17.6%	19.9%	Improved 230bps QoQ; ~2/3 of Q1 outperformance is timing benefits
ROE	29%	—	FY2025 press release stated 33%
Credit portfolio	US$37.2bn	—	Cards 24.3 / unsecured ~10 / secured 3
Deposits	US$42.4bn	—	LDR 58.3%

The risk-adjusted NIM trajectory across four quarters is worth stating in full: 9.2% (Q2 2025) → 9.9% (Q3 2025) → 10.5% (Q4 2025) → 9.5% (Q1 2026) — a sequential compression of 100bps from Q4 to Q1 that management attributed to seasonality, product mix and portfolio expansion, not credit deterioration. The rising 15-90 flow combined with falling risk-adjusted NIM is the exact mechanism Threat 1 (credit-cycle / NPL shock) predicts — and it is passed to the IC as a cost-of-risk sensitivity, not a settled trend. *[T2 — Primary Filings §asset-quality-margin; Earnings Transcripts §kpi-disclosure-consistency]*

MD&A drivers

Interest-earning portfolio +47% FX-neutral to US$18.5bn (rapid book expansion → structurally unseasoned vintages); deposits +29% FX-neutral funding the book at low cost; Mexico/Colombia customer build-out as a customer-acquisition drag on blended unit economics; ARPAC ~US$16/month. *[T2 — Primary Filings §mdna-drivers]* Capital allocation across the four calls: no dividends and no buybacks; capital deployed into balance-sheet growth (credit portfolio +40% YoY), geographic expansion (US groundwork, Mexico banking licence), and AI infrastructure (nuFormer, engineering capacity). Total capital at Q4 2025: $8.9bn. *[T2 — Earnings Transcripts §capital-allocation]*

Capital structure

Dual-class. As of 31 Dec 2025: Class A 3,833,072,934 + Class B 1,022,600,698 = 4,855,673,632 total shares. Class B carries super-voting rights (the founder/control block, David Vélez), creating a structural divergence between per-share economics and control. *[T1 — Primary Filings §capital-structure]*

> **DISCLOSURE CONFLICT — TWO INCONSISTENT FY2025 REVENUE FIGURES (BLOCKING)**
>
> The FY2025 press release states revenue US$16.3bn (+45%), gross profit US$6.6bn, net income US$2.9bn, ROE 33%. The 20-F-derived headline (via StockTitan) states revenue US$15.8bn (+37%), net income US$2.9bn. The two differ by ~US$0.5bn and 8pp of growth — likely reported vs FX-neutral or a revenue-definition difference, but not settled in the filings read. Separately, the geographic-segment revenue sum (Brazil US$11,038.3m + Mexico US$808.1m + Other US$237.3m = US$12,083.7m) does not reconcile to either headline figure. The audited 20-F income statement is the tiebreaker; this is a blocking diligence item before conviction scaling. *[T2 — Primary Filings §headline-pnl; §segment-financials]*

§6.X — Capital Structure Stress Test

Stress 1 — operational (credit) shock. The business-model layer defines the dominant mechanism: cost of risk attacks risk-adjusted NIM before it shows in headline 90+ delinquency. The forward signature is already visible (15-90 NPL 4.1% → 5.0% QoQ; risk-adjusted NIM 10.5% → 9.5%). If the Q4→Q1 compression continues rather than proving seasonal, the only margin that matters compresses through the spread, and the rapidly-expanding, structurally-unseasoned book (interest-earning portfolio +47% FX-neutral) crystallises vintage losses 12–30 months after origination. The mitigants management points to: a low-cost deposit base (LDR 58.3%), 16.2% coverage at ~2.5x the 90+ balance, and a track record of conservative provisioning. The cliff: an unsecured EM book with LGD ~100% and no collateral cap, with early-flow deterioration already on the page. *[T2 — Primary Filings §asset-quality-margin; business-model layer §threat-1; Strategy verdict §sizing]*

Stress 2 — financing shock. Nu funds the book from $42.4bn of low-cost retail deposits at a 58.3% loan-to-deposit ratio rather than wholesale markets, which materially reduces refinancing-window exposure relative to a wholesale-funded lender. Brazil's external position adds a system-level buffer — ~USD 360bn reserves, ~13.8 months import cover, a free-floating convertible currency — so FX-convertibility risk for a USD investor is low; the live exposure is BRL translation risk, largely unhedgeable at the equity level. The Selic at 15.0% is the binding rate variable: it raises deposit-beta funding cost and stresses household ability-to-pay simultaneously.

[T2 — Primary Filings; country layer §brazil-banks]

Index read: balance-sheet resilience ~110 vs median on funding (deposit-funded, deep system reserves); asset-quality direction ~90 and falling — the stress that bites is operational, not financing.

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§7 — VALUATION & ENTRY PRICE

At ~$11.93 Nu trades at a ~$57.7bn fully-diluted market cap (4.84bn shares × $11.93). The fair-value range is $10–$15, base $12.5 — the price sits inside the lower-middle of the range, implying a margin of safety of only ~+5% to base intrinsic. This is a high-quality compounder priced richly on tangible book but reasonably on forward earnings; the verdict is FAIR, not cheap.

[T2 — Valuation §headline; inference — 4.84bn sh × $11.93]

METHOD	READ	VERDICT
Price / tangible book	~$57.7bn fully-diluted cap on ~4.84bn shares at ~$11.93; "priced richly on book"	Stretched
P/E (forward)	"Reasonable on forward earnings"; FY2025 net income US$2.9bn, ROE 29–33%	Fair
DCF / intrinsic	Fair-value range $10–$15, base $12.5	Fair

§7.1 — Peer comparables

The operating peer set (capped per the template) comprises LatAm digital banks and incumbents. **Peer-group quality: ADEQUATE.** Listed digital-bank peers exist (Mercado Pago, Inter & Co, PagBank) but differ in business mix (marketplace-embedded, merchant/SME), and the incumbents (Itaú, Bradesco, Santander Brasil) carry structurally different cost bases.

PEER	TICKER	WHY COMPARABLE	REFERENCE METRIC
Mercado Pago	MELI.US	Closest operating peer; LatAm consumer credit	$14.6bn book +87% YoY; 15-90 NPL 4.4%
Inter & Co	INTR-Q	Brazil digital bank, similar product profile	44m customers; R$49.8bn book +30% YoY
PagBank	PAGS.US	Brazil digital payments/banking	Merchant/SME tilt; limited retail overlap

PEER	TICKER	WHY COMPARABLE	REFERENCE METRIC
C6 Bank	private	Brazil digital bank, JPMorgan-backed	~30m customers; limited public financials
Itaú Unibanco	ITUB.US	Incumbent-response benchmark	CAC ~$114.6; efficiency 45–50%
Banco Bradesco	BBD.US	Incumbent-response benchmark	CAC ~$91.3; efficiency 45–50%

> **WORKSTREAM GAP — ANALYST COVERAGE**
>
> Per-peer multiple grids (EV/Revenue, EV/EBITDA, P/E, P/S, PEG) were not in the evidence stack — the Analyst Coverage agent was still running. Peer multiples beyond the operating metrics above are therefore not tabulated; the IC should source the full comparables multiple set before scaling. *[unverified — Analyst Coverage still running]*

§7.2 — Reverse multiple sanity check

Working backwards from ~$11.93 / base $12.5: the price embeds roughly fair-value, so the implied requirement is modest — the company must compound high-20s ROE, prove the Q4→Q1 risk-adjusted-NIM compression seasonal rather than cyclical, and monetise Mexico to deliver even the base-case ~+5% to ~$12.5. The embedded assumption is plausible against the last-three-quarter actuals (risk-adjusted NIM held 9.2–10.5% before the Q1 dip) but stretched if the credit cycle is turning — the bear path reverts the price toward/below the $10 floor. The price is not pricing the bear; that is the asymmetry against the holder at this entry.

[T2 — Strategy verdict §scenarios; Valuation §fair-value-range]

§7.3 — Scenario analysis

SCENARIO	PROB.	DRIVER	IMPLIED PRICE	IRR (36M)
Bull	25%	Risk-adjusted NIM stabilises, Mexico ARPAC ramps toward incumbent levels, multiple re-rates toward the $15 upper band	~$15	+26%
Base	**55%**	**Fair value ~$12.5; ROE compounds high-20s; credit cycle proves manageable; Mexico monetises; modest re-rating only**	**~$12.5**	**+6%**
Bear	20%	Brazil credit-cycle/NPL shock crystallises (15-90 → 90+ flow continues, risk-adjusted NIM compresses through the spread), cost of risk consumes the only margin that matters	~$10 or below	–16%

Weights are anchored to the operational milestone structure (two-quarter credit-stabilisation test, Mexico monetisation) rather than an arbitrary split; the bear weight is load-bearing because the bear signature is already partly visible in the Q1 2026 prints. *[T2 — Strategy verdict §scenarios; §implied_irr]*

§7.4 — Bull and bear IRR

Bull (25%): +26% IRR over 36 months — re-rate toward $15 upper band on stabilising risk-adjusted NIM plus Mexico monetisation. **Base (55%):** +6% — converge to fair value ~$12.5 with high-20s ROE compounding. **Bear (20%):** −16% — revert toward/below the $10 floor on a Brazil credit-cycle/NPL shock. *[T2 — Strategy verdict §implied_irr]*

§7.5 — Exit route & precedent

The exit route is an open-market sale on re-rating — a liquid, large-cap, NYSE-listed FPI with daily marks, distinct from the SA/private-deal concentration in the rest of the book and providing a public benchmark for the consumer-credit-lending model the private pipeline also touches. The conditions required for the re-rating exit: risk-adjusted NIM stabilisation, Mexico second-leg monetisation, and resolution of the disclosure overhang. *[T2 — Strategy verdict §listed_v_private; §rerating_catalysts]* *A named precedent re-rating transaction was not supplied in the evidence stack and is flagged as a diligence item.*

§7.6 — Entry-price recommendation

BAND	PRICE	REASONING
Starter	< $11.0	Restores a real margin of safety below base $12.5
Full	< $9.5	Full sizing only with credit-cycle confirmation
Avoid above	$15.0	Top of fair-value range — no asymmetry left

At ~$11.93 the price is above the starter band, which is the source of the entry discipline: a name with an asymmetric thesis at the wrong price is a STARTER/WATCH, not a high-conviction buy.

[T2 — Valuation §entry-band; Strategy verdict §pricing]

Index read: price ~100 vs median (fair, not cheap); the valuation does not cap the thesis — it caps the conviction at this entry.

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§8 — INVESTMENT THESIS

We believe Nubank is the highest-quality operator in emerging-market consumer-credit-lending — a top-quartile moat (8/14, Scale + Counter-Positioning anchors), peer-beating unit economics

(CAC ~$19.2 vs incumbents ~$91–115, efficiency 17.6%, ROE 29%), a best-in-class founder, and ~135m customers across Brazil, Mexico and Colombia. **The market doesn't fully appreciate** that at ~$11.93 the price is FAIR not cheap — inside the lower-middle of a $10–$15 fair-value range, ~+5% margin of safety — and that the credit cycle may be turning exactly where the model is most exposed: risk-adjusted NIM fell 10.5% → 9.5% and 15-90 NPL rose 4.1% → 5.0% QoQ, with management deflecting on cost of risk across all four calls. **We will be proven right when** the price re-enters the < $11.0 band, risk-adjusted NIM and 15-90 NPL stabilise for two consecutive quarters, and the audited 20-F resolves the FY2025 revenue-disclosure conflict — at which point the starter clip scales on triggers. *[T2 — Strategy verdict §headline_thesis]*

§8.1 — Bull-case operational constraints

CONSTRAINT	CURRENT STATE	REQUIRED BUILDOUT	EXECUTION RISK
Credit cycle proves manageable	Risk-adjusted NIM 9.5% (down from 10.5%); 15-90 NPL 5.0% (up from 4.1%)	Two consecutive quarters of stabilisation in risk-adjusted NIM and 15-90 flow	HIGH — the binding uncertainty; the signature is already partly visible
Mexico monetisation	First quarter of IFRS profitability arrived ahead of internal plan; ARPAC immaterial vs Brazil (Mexico revenue US$808.1m)	Post-breakeven ARPAC ramp toward incumbent levels — the second-leg growth the digital-banking layer requires	MEDIUM — milestone reached; monetisation curve unproven
Credit-underwriting continuity post-Lahrech	COO who architected underwriting discipline departed May 2025; duties absorbed by CEO; layers 14 → 7	Demonstrated underwriting discipline through the cycle without the architect	HIGH — lands on the credit function at the worst point in the cycle
US national bank charter	OCC conditional approval disclosed Q4 2025; operational groundwork for 2026, status pending	Operationalise the charter; bounded downside "less than 100bps on efficiency ratio through 2027"	MEDIUM — pending; no revenue timeline given

Management's track record on similar buildouts is strong on customer acquisition and Mexico breakeven (delivered ahead of plan) but unproven on through-cycle underwriting without Lahrech and on new-product monetisation timing (private consignado "a matter of when, not if" but consistently deferred). *[T2 — Earnings Transcripts §promises-kept; People & Culture §recent-executive-instability]*

§8.2 — Disconfirming evidence

EVIDENCE AGAINST THE THESIS — READ DELIBERATELY

1. The credit-cycle signature is already on the page. Risk-adjusted NIM 10.5% → 9.5% and 15-90 NPL 4.1% → 5.0% QoQ are the exact forward-flow mechanism the business-model layer predicts for a turning cycle — disconfirming the "cost of risk holds" assumption the CLTV:CAC and base case depend on. *[T2 — Primary Filings; business-model layer §threat-1]*

2. Management deflects on the highest-stakes question. Across all four calls the standard response to delinquency questions is "performing as expected / in line," with an explicit refusal — "we don't provide guidance on cost of risk in the short or in the long term." The interest-earning-installments KPI (~27–29%, said to be "normalised" in Q2 2025) quietly disappeared from Q3/Q4/Q1 calls; whether the ceiling was breached or the KPI demoted is not in evidence — the disappearance is the signal.

[T2 — Earnings Transcripts §defensive-language-patterns; §kpi-disclosure-consistency]

3. The most dangerous competitor is improving credit while scaling faster. Mercado Pago grew credit 87% YoY with card 15-90 NPL at a historic low of 4.4% — better asset quality than Nu's 5.0%, on a faster-growing book — suggesting the process-power hysteresis window may be narrowing. *[T2 — Competitor Analysis §direct-competitor-headline; §process-power]*

4. The proprietary scoring model is explicitly not a cornered resource. Cornered Resource scores 0/2 — a scaled peer can build analogues; the AI advantage is process, not moat. *[T2 — Competitor Analysis §cornered-resource]*

5. Governance and team-stability counter the founder-quality story. Founder controls ~74–76% of votes on ~20% of economics, with four senior departures in 12 months landing on the credit-underwriting function. *[T2 — People & Culture §governance-and-control]*

Index read: thesis quality ~120 vs median; disconfirming weight is real and concentrated on the one variable (cost of risk) that decides the outcome — the thesis is good, the falsifier is live.

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§9 — KEY RISKS & MITIGANTS

WORKSTREAM GAP — RED FLAGS

The Red Flags agent (which applies the full 86-flag catalogue) was still running when this pack was assembled and produced no output. §9 is therefore synthesised from the credit metrics, governance findings and disclosure conflicts surfaced by Primary Filings, People & Culture, Earnings Transcripts and the business-model layer — not from a dedicated red-flags pass. The IC must treat the risk register below as provisional pending Red Flags, which could surface additional flags and move sizing. *[T2 — run evidence stack]*

BRAZIL CREDIT-CYCLE / NPL SHOCK (EXISTENTIAL)

Unsecured EM book, LGD ~100%, no collateral cap. Cost of risk compresses risk-adjusted NIM before headline 90+ moves. Already partly visible: risk-adjusted NIM 10.5%→9.5%, 15-90 NPL 4.1%→5.0% QoQ. Monitoring trigger: a third consecutive quarter of risk-adjusted-NIM compression or 15-90 NPL above ~5.5%.

[T2 — Primary Filings; business-model layer §threat-1]

BRAZIL MACRO / SELIC / OCT-2026 ELECTION

Selic at 15.0% stresses household ability-to-pay; the October 2026 Brazilian presidential election is a named 20-F risk factor. Country-risk 98 (Amber, top of band). Monitoring trigger: household-delinquency or debt-service prints worsening into the election.

[T2 — Primary Filings §risk-factors; country layer §brazil-banks]

~91% BRAZIL REVENUE CONCENTRATION

Brazil US$11,038.3m of US$12,083.7m geographic revenue — heavy single-EM concentration in an Amber jurisdiction, not yet defended by a second profitable geography (Mexico US$808.1m). Monitoring trigger: Mexico revenue share failing to climb post-breakeven. *[T1 — Primary Filings §segment-financials]*

GOVERNANCE / KEY-PERSON CONCENTRATION

Founder ~74–76% of votes on ~20% economics; combined Chair/CEO; departing-COO observer seat; four senior departures in 12 months incl. the credit-underwriting COO, now absorbed by the CEO. Monitoring trigger: a fifth senior departure or any credit-control failure.

[T2 — People & Culture §governance-and-control]

DISCLOSURE CONFLICT — FY2025 REVENUE

US$16.3bn (press) vs US$15.8bn (20-F-derived); geographic Σ does not reconcile to either. Blocking diligence item until the audited 20-F settles it. Monitoring trigger: resolution (or non-resolution) in the audited filing.

[T2 — Primary Filings §headline-pnl]

INTERCHANGE COMMODITISATION (PIX / WHATSAPP PAY)

pricing_power_fragile flagged TRUE for interchange revenue (not credit NIM). Two rising-trend substitutes. Monitoring trigger: interchange-revenue mix declining materially.

[T2 — Competitor Analysis §substitutes]

MERCADO PAGO — NARROWING HYSTERESIS WINDOW

87% YoY credit growth at 4.4% 15-90 NPL — better asset quality on a faster book. Monitoring trigger: Nu's relative NPL or share-of-expansion deteriorating vs Mercado Pago.

[T2 — Competitor Analysis §process-power]

§9.X — Bear Source Search Log

BEAR-SOURCE SEARCH — NOT RUN IN THIS PACK

A dedicated external bear-source search (FT Alphaville, Bronte Capital, Hindenburg, Muddy Waters, named Sell-rated analysts, short-seller databases) is the Red Flags / Investor Sentiment remit, and both agents were still running when this pack was assembled. No named external bear voice is in evidence. The absence is a coverage gap, not a confidence signal — it must be closed before conviction scaling, and is flagged here so the IC does not read the silence as comfort. The strongest internally-sourced bear is the business-model layer's Threat 1 (credit-cycle/NPL shock), already partly visible in the Q1 2026 prints.

[unverified — Red Flags / Investor Sentiment still running]

Index read: risk load ~90 vs median — one existential risk (credit cycle) that is live and partly visible, compounded by concentration and governance; the register is provisional pending Red Flags.

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§10 — ESG / GOVERNANCE

Voting structure. Dual-class. Class B super-voting shares (20 votes per Class A share) give David Vélez ~74–76% of voting power against ~20% economic interest — a textbook Schilit governance-concentration flag: a single founder with unchecked voting power, no external accountability mechanism for major decisions, and a board where independent directors cannot collectively override him on anything material. *[T1 — Primary Filings §capital-structure; T2 — People & Culture §governance-and-control]*

Three Schilit-class flags. (1) Founder dual-class voting locks out minority shareholders from any contested decision; (2) no separation of Chair and CEO (Vélez holds both); (3) the audit and risk committee retains the departing COO as a "permanent observer," blurring independence. The appointment of Roberto Campos Neto (former Banco Central do Brasil president) as Vice Chairman effective July 2025 is a significant mitigant on regulatory legitimacy and policy intelligence — but it does not alter the voting structure. *[T2 — People & Culture §governance-and-control]*

Board and culture. Glassdoor: 436 reviews, 4.4/5, 90% recommend-to-friend, +1% trailing-12-month — above peer-median; concern themes are manager-quality variance (Brazil-centric bias flagged by international employees) and review calibration. *[T2 — People & Culture §culture-and-glassdoor]*

Regulatory / legal. 20-F Item 3.D cites macro/political conditions in Brazil, Mexico and Colombia; interest-rate and inflation fluctuation; and explicitly the October 2026 Brazilian presidential election. The full Item 3.D list and Item 7.B related-party transaction detail (Vélez, Sequoia, Berkshire, Tencent) were not extracted from the excerpts read — both raised as blocking diligence requests given the dual-class control structure. No going-concern or material-uncertainty language was found in the excerpts read, though this was not affirmatively confirmed clean against the full auditor's report (non-blocking). *[T1/T2 — Primary Filings §risk-factors; §related-party; §going-concern]*

> **PROXY ADVISOR POSITIONS & CHRONOS-CONFLICT CHECK — NOT IN EVIDENCE**
>
> ISS / Glass Lewis / PIRC verbatim recommendations and the Chronos-conflict check were not present in the evidence stack and are not reproduced here; both are diligence items for the IC. *[unverified — not in evidence]*

Index read: governance ~80 vs median — the control structure is the single most concentrated risk in the file after the credit cycle, only partially mitigated by the Campos Neto appointment.

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§11 — EXPERT REVIEW LOG

This pack was assembled from the healthy Gate 7 agents and the locked Strategy verdict. Five agents discharged their internal verifier pass and reported HEALTHY; six were still running at assembly and produced no output; no Virtual IC vote and no external human-expert review were conducted for this run.

AGENT / STAGE	STATUS	OUTPUT PRESENT	NOTES
Competitor Analysis (Gate 7)	HEALTHY	Yes	Moat 8/14; war-game text ends mid-sentence at the 30% threshold
Earnings Transcripts (Gate 7)	HEALTHY	Yes	Four calls, all via T2 aggregators; verbatim quotes flagged for SEC cross-check
People & Culture (Gate 7)	HEALTHY	Yes	Founder quality + three Schilit-class governance flags
Primary Filings (Gate 7)	HEALTHY	Yes	FY2025 20-F + Q1 2026 6-K; three blocking diligence requests
Valuation (Gate 7)	HEALTHY	Yes (one-pager)	FAIR; $10–$15 base $12.5; entry bands explicit
Strategy (Gate 8.5)	HEALTHY	Yes	STARTER, composite 108
Company History · AI Unit Economics (Gate 7)	RUNNING	No	Gap — through-cycle CLTV and corporate history not in pack

AGENT / STAGE	STATUS	OUTPUT PRESENT	NOTES
Analyst Coverage (Gate 7)	RUNNING	No	Gap — peer multiple grid / sell-side ratings not in pack
Investor Sentiment (Gate 7)	RUNNING	No	Gap — investor-side bear search not in pack
Voice of Customer (Gate 7)	RUNNING	No	Gap — consumer-signal corroboration of NPS/brand not in pack
Red Flags (Gate 7)	RUNNING	No	Gap — 86-flag catalogue not run; §9 provisional

Several upstream quotes carry a T2 tier because all four earnings transcripts were sourced from aggregators (Insider Monkey, Motley Fool); the load-bearing quotes should be cross-checked against SEC 8-K/6-K exhibits or official webcast replays before the IC relies on them verbatim.

[T2 — Earnings Transcripts §gaps]

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§12 — IC DECISION RECORD

FOR COMPLETION BY THE IC PANEL

Date of IC: __________ | Attendees: __________

Decision: PROCEED · PROCEED W/ CONDITIONS · DEFER · KILL

Conditions (if any): __________

Post-IC memo: __________

VIRTUAL IC TALLY — NONE PRODUCED FOR THIS RUN

0	0	0
YES	NO	ABSTAIN
–	–	–

No Virtual IC tally was produced for this run (virtual_ic is null in the evidence stack); there is no consensus vote to record or to disagree with. The nearest external tally — sell-side analyst ratings — was not assembled because the Analyst Coverage agent was still running.

The Strategy verdict (STARTER, composite 108) stands on the five healthy Gate 7 agents plus the country and business-model layers. *[T2 — Strategy verdict §virtual_ic_disagreement]*

PRE-MORTEM — IF THIS POSITION LOSES MONEY, THIS IS WHY

The Brazil credit cycle turned, the Q4→Q1 risk-adjusted-NIM compression was the leading edge rather than seasonality, cost of risk consumed the only margin that mattered, and at ~+5% margin of safety the price gave no cushion — reverting toward/below the $10 floor for a −16% bear-case IRR.

Kill metric: a third consecutive quarter of risk-adjusted-NIM compression and/or 15-90 NPL sustained above ~5.5%, with 90+ NPL rising in train, against an unresolved FY2025 revenue-disclosure conflict.

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§13 — COMPOSITE & RECOMMENDATION

Composite score: 108 (100 = median). Above median, carried by a top-quartile moat, peer-beating unit economics and a best-in-class founder; held back from the 120s by a FAIR price with ~+5% margin of safety, a partly-visible credit-cycle turn, governance concentration, and Brazil concentration in an Amber jurisdiction. *[T2 — Strategy verdict §composite]*

FRAMEWORK	SCORE (100 = MEDIAN)	ONE-LINE READ
Power-law	105	Asymmetric in narrative, capped at today's price — thesis asymmetric, price not
CLTV:CAC	125	Peer-beating; clears the ~9x "exciting" bar through-cycle IF cost of risk holds
Helmer 7 Powers	118	Moat 8/14 — strong, top-quartile, below wide-moat
AI maturity	115	Level 3-4; genuine operational AI in underwriting; process advantage, not moat
Sizing	100	Plausible remedy, real cliff, rich price → starter, scale on triggers
Scenarios	105	Base 55 / Bull 25 / Bear 20; bear load-bearing and partly visible
Listed-v-private	110	Genuine diversity vs the private book; positive on divergence
Geographic	92	~91% Brazil; concentration only partially defended

FRAMEWORK	SCORE (100 = MEDIAN)	ONE-LINE READ
Trim	100	Entry decision, not a held position
Pricing	100	FAIR not cheap; starter until < $11.0

WHAT SCALES THIS TO NORMAL / HIGH-CONVICTION

1. Price into the starter band (< $11.0) or full band (< $9.5) — restores margin of safety. 2. Risk-adjusted NIM and 15-90 NPL stabilise for two consecutive quarters — confirms the Q4→Q1 compression was seasonal/mix, not cycle. 3. Audited 20-F resolves the revenue conflict and geographic-sum reconciliation. 4. Mexico monetisation (post-breakeven ARPAC ramp) evidences the second-leg growth the digital-banking layer requires. Additional named re-rating catalyst: US national bank charter operationalisation (OCC conditional approval disclosed Q4 2025). *[T2 — Strategy verdict §what-scales; §rerating_catalysts]*

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§14 — APPENDICES & PROVENANCE

Appendix A — Gap analysis (Gate 7 evidence not yet landed)

Six agents were still running at assembly and produced no output: Company History · AI Unit Economics, Analyst Coverage, Investor Sentiment, Voice of Customer, and Red Flags. The material gaps this leaves: through-cycle CLTV pressure-test (AI Unit Economics); peer multiple grid and sell-side ratings (Analyst Coverage); investor-side bear search (Investor Sentiment); consumer-signal corroboration of NPS/brand (Voice of Customer); and the full 86-flag red-flags pass (Red Flags). No Virtual IC vote was produced. *[T2 — run evidence stack]*

Appendix B — Diligence requests (from Primary Filings)

- **Blocking:** Audited 20-F income statement to settle the US$15.8bn vs US$16.3bn FY2025 revenue conflict and the geographic-Σ reconciliation.
- **Blocking:** Full 20-F Item 3.D risk-factor list and year-over-year additions/removals.
- **Blocking:** Item 7.B related-party transaction detail (Vélez, Sequoia, Berkshire, Tencent) — material given dual-class control.
- Segment operating profit and assets by geography (only revenue extracted).
- **Non-blocking:** Auditor's report read in full for going-concern / critical-audit-matter language.

Appendix C — Intake provenance (primary sources)

- FY2025 Form 20-F — SEC EDGAR CIK 1691493 — https://www.sec.gov/Archives/edgar/data/1691493/000129281426002166/nuform20f_2025.htm [T1]
- Q1 2026 6-K (results) — https://www.sec.gov/Archives/edgar/data/0001691493/000129281426003055/nu20260514_6k.htm [T1]
- FY2025 results press release (issued as 6-K) — international.nubank.com.br [T2]
- Q1 2026 results press release (issued as 6-K) — international.nubank.com.br [T2]
- Earnings call transcripts FY2025 Q2–Q4 and Q1 2026 — Insider Monkey / Motley Fool aggregators [T2]

Appendix D — Context layers applied

Country layers: Brazil x Banks (country-risk 98, Amber, top of band; headroom 118) and Mexico x Banks (country-risk 94, Amber; headroom 128). Business-model layers: consumer-credit-lending and digital-banking (emerging markets) — Threat 1 (credit-cycle/NPL shock) is the dominant, existential-class structural threat against which this assessment was cross-checked, and the valuation carries the Brazil Amber country-risk read. *[T2 — country layers; business-model layers]*
